

Q3 2024

Custom Managed Portfolios

Scheer, Rowlett & Associates Canadian Equity

Quick facts

Asset class:
Canadian Large Cap

Management style:
Value¹

Number of holdings:
50

Sub-advisor:
Scheer, Rowlett &
Associates

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 1, 1997



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	11.70%	16.31%	25.61%	12.15%	12.37%	8.93%	9.76%
Benchmark ⁵	10.54%	17.22%	27.03%	9.59%	10.99%	8.11%	7.39%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	10.26%	1.50%	30.12%	2.94%	20.51%	-10.29%	10.55%
Benchmark ⁵	12.02%	- 5.86%	25.09%	5.59%	22.88%	- 8.89%	9.10%

Standard deviation	9.96%	Sortino ratio	1.03	Downside capture	108%
Sharpe ratio	0.82	Beta (Equity)	0.93	Upside capture	93%

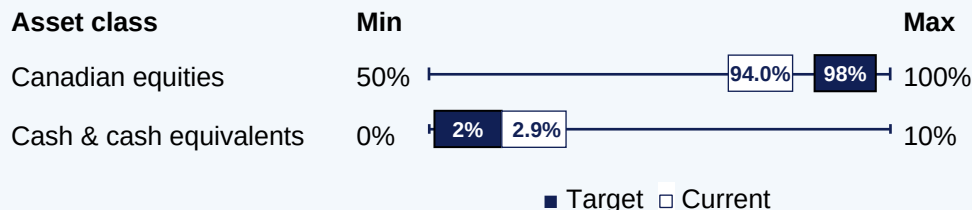
Largest holdings

1. ROYAL BANK OF CDA	8.0%	6. CIBC	3.6%
2. TORONTO DOMINION BK	6.6%	7. SUNCOR ENERGY INC NEW	3.6%
3. TC ENERGY CORP	5.0%	8. ELEMENT FLEET MANAGEMENT	3.2%
4. BROOKFIELD CORP	4.2%	9. CDN NTL RAILWAY CO	3.0%
5. BK OF NOVA SCOTIA	4.0%	10. TELUS CORP	2.8%

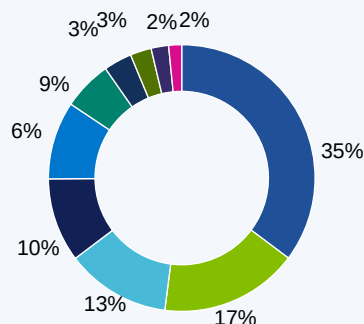
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
3.10%	17.86	11.97	1.95	2.77	\$59.84 B	22%

Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Portfolio Review

Our portfolio outperformed as security selection in the Industrials sector, along with sector positioning plus security selection in Energy and Financials all added value. Losses from security selection in Consumer Discretionary only slightly offset some of these gains.

In Energy Producers, our underweight position (the subsector underperformed by 17%) along with security selection in Pipelines both added value. TC Energy (+26%) outperformed as they announced a minority sale of their Canadian pipeline system (NGTL) at an attractive ~12x EBITDA multiple.

In Industrials, Element Fleet Management (+14%), Brookfield Business Partners (+23%) and NFI Group (+14%) all added value. Element Fleet continues to perform well. Brookfield Business Partners is benefitting from a more favorable outlook for the private equity space and seeing good performance in its large portfolio companies. Finally, NFI reported a strong quarter, beating cash flow and bus delivery expectations (along with improving liquidity measures).

In Financials, our overweight position (sector outperformed by 6.5%) along with CI Financial (+29%), CIBC (+29%) and an underweight position in Bank of Montreal (+8%), all added value. CI Financial gained on the strong equity market performance. CIBC reported Q3 results that beat analyst expectations by over 10%. We continue to see upside in both CI and CIBC.

In Consumer Discretionary, our positions in Linamar (-5%) and Canada Goose (-4%) plus no position in Dollarama (+11%) detracted value. Linamar reported decent results that beat expectations; however, they moderated their outlook into year end. We continue to see upside potential as the stock trades at 6X forward earnings and 70% of book value. Canada Goose met Q3 expectations however Same Store Sales fell by 4% driven by weakness in U.S. market performance and their gross margins declined causing some market concern. We believe that the company's growth plans are realistic and continue to see upside potential in the name.

With all North American companies reporting results for the second quarter, underlying revenue and earnings growth remains resilient. In Canada, 68% of companies surprised on revenue expectations with absolute revenue growing by 3.3% versus Q2 2023, while 70% surprised on earnings expectations as companies reported 10.4% earnings growth. In the U.S., a similar story played out indicating resilient economies. These levels of revenue and earnings growth have been fairly characteristic of positions in our portfolio of about 50 companies. While we invest in companies that display strong value characteristics and discounts to their intrinsic value, if they are growing at the same time this makes them even more attractive for us to own, as they demonstrate the ability to reinvest their cash flows in accretive areas, generating additional value for our clients' portfolios, period over period.

Investment manager overview

Scheer, Rowlett & Associates Investment Management Ltd. (Scheer Rowlett) originally operated as Crown Life Investment Management Inc. (CLIMCO) and was founded in 1990 by the Crown Life Insurance Company. Prior to the formation of CLIMCO, Crown Life managed pooled funds as far back as 1973. In mid-1998, CLIMCO changed its name to Scheer, Rowlett & Associates Investment Management Ltd. at which time the investment professionals and Connor, Clark & Lunn Financial Group (CC&L Financial Group) became partners in the firm. In January of 2001, Crown Life sold its remaining ownership in Scheer Rowlett. The firm specializes in value-oriented, Canadian equities within the Connor, Clark & Lunn Financial Group of companies, which has over \$32 billion in assets under management.

Investment philosophy

Sionna practices classic Graham and Dodd value investing with a relative value overlay. Sionna Scheer Rowlett believes that quality never goes out of style and that personal judgment matters. The firm's value investment philosophy is founded on the belief that efficiencies in the equity market are realized over mid- to long-term periods. The firm believes that a company's earning ability, driven by its fundamentals, provide transparency to the company's worth. Based on this philosophy, Scheer Rowlett seeks to invest in undervalued companies with strong or improving fundamentals, healthy financial positions, and proven management. They strive to deliver superior, risk-adjusted returns over the long-term, in both up and down markets. The team's unwavering commitment to this investment philosophy forms the basis upon which it employs its bottom-up, value-oriented investment process.

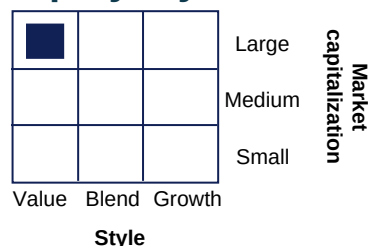
Investment process and risk controls

SRA Canadian equity portfolios are managed using a disciplined four-stage, bottom-up process based on thorough fundamental analysis.

- First, they conduct a value screen on all S&P/TSX companies on the basis of traditional valuation measures, such as price-to-book and price-to-earnings ratios.
- The second stage focuses on understanding the company and why its valuation is being discounted in the marketplace. Their analysis at this stage takes a close look at historical earnings, operating risk, the track record of management, and the competitive advantage the firm has within its industry.
- In their third stage, they look at the operating environment and changes that may have taken place that would inhibit the company's ability to repeat its past successes.
- At the final stage of the process, they estimate a fair value per share. They stick to a basic set of tools to obtain a valuation estimate of a particular company. They analyze a firm in terms of; discounted cash flow, breakup value, net asset value, relative cash flow, and earnings multiples.

Formal sector controls are adhered to in order to ensure diversification. Stocks are sold when: a stock's price has achieved its target; when there is a change in fundamentals for the company or industry; or when a more attractive opportunity arises.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Value investing is an investment strategy that involves picking stocks that appear to be trading for less than their intrinsic or book value

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is S&P/TSX Composite TR Index

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